

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO**

Civil Case No. _____

REGISTRY SYSTEMS INTERNATIONAL, LTD.
Plaintiff,

v.

Vincent Hamm,
Karen Hamm,
Kim Keeling,
Aim High!, Inc.,
Kaim Chigh, LLC and
1 Domain Source, Ltd.
Defendants.

VERIFIED COMPLAINT FOR DAMAGES AND INJUNCTIVE RELIEF

Plaintiff Registry Systems International, Ltd. ("RSI"), by and through its attorneys Sherman & Howard, LLC, states and alleges the following for its Complaint against Vincent Hamm, Karen Hamm, Kim Keeling, Aim High! Inc. ("Aim High!"), Kaim Chigh, LLC and Domain 1 Source, LLC:

PARTIES, JURISDICTION AND VENUE

1. Plaintiff RSI is a corporation created and existing under the laws of Bermuda with its principle place of business at 22 Canons Court, 22 Victoria Street, Hamilton, Bermuda.

2. Defendants Vincent Hamm and Karen Hamm are individuals residing at 7836 Lone Pine Drive, Golden, Colorado 80402.

3. Defendant Kim Keeling is an individual residing at 525 Canyon View Road, Golden Colorado 80403.

4. Upon information and belief, Defendant Aim High! is a corporation created and existing under the laws of the State of Colorado with its principle place of business in Golden, Colorado.

5. Upon information and belief, Defendant Kaim Chigh, LLC is the tradename for Real Estate Services, Ltd, a limited liability company created and existing under the laws of the State of Colorado with its principle place of business in Golden, Colorado, with Vincent Hamm as its registered agent. On information and belief, Kaim Chigh, LLC's primary asset is certain property and improvements located at 7315 Grant Place, Arvada, Colorado.

6. Upon information and belief, Defendant 1 Domain Source, Ltd. is a corporation created and existing under the laws of the State of Colorado with its principle place of business in Golden, Colorado.

7. This Court has diversity jurisdiction pursuant to 28 U.S.C. §1331(a)(2) as the Plaintiff is resident in the Nation of Bermuda, and the Defendants are residents of the State of Colorado and the amount in controversy exceeds \$75,000, exclusive of interest and costs.

8. Venue is proper in this Court because this action involves Colorado defendants and events occurring in Colorado.

GENERAL ALLEGATIONS

9. RSI engages in the sale of internet domain names to customers seeking to establish internet “websites.” RSI is the successor to a domain name and web hosting business originally established in about 1996 (“the RSI business”). The RSI business originally acquired bandwidth and server co-location services in the State of Colorado from Netrack, a member of the Colorado Internet Cooperative (“Coop.net”). Following the initial success of the RSI business, the requirement for bandwidth and economies of scale grew to the extent that it became necessary to find another firm with which to share demand for bandwidth. The second Defendant was identified from a published list of customers of Coop.net and the Defendants were approached with a proposal that they consider sharing their bandwidth on commercial terms. There was, at the time, no connection between the RSI business or any of its participants and the Defendants; each was wholly unknown to the other. The Defendants replied positively to the proposal to share bandwidth costs and provide co-location services on their premises and commercial arrangements to that effect were implemented.

10. By 1999, the RSI business required, in addition to bandwidth sharing and co-location, attending to the preparation and lodging of accounts and statutory records, including the preparation of United States tax returns and assistance in the obtaining and management of merchant card facilities in the United States, and banking and accounting for the revenue streams derived by the application of these card facilities. The Defendants provided these services as well to the RSI business on a salaried basis.

11. Defendant Vincent Hamm was and acted as a director of RSI from its incorporation until August 26, 2007. He was instrumental in its incorporation and allocated and paid funds from the RSI business to meet the costs of its incorporation. He received a salary from the RSI business paid, at his direction, to Aim High!.

12. Over time, the RSI business expanded to include several newly established entities that are the subject of this case: Internet Equipment Sales & Holdings, LLC, Internet Name Register, Inc., Domain Monkeys LLC, Web Business, LLC, (collectively, the “Domain Registrar Companies”) and Aim High!. The legal relations between these companies, RSI and Hamm are as follows:

a. Aim High! is a Colorado corporation owned by Karen Hamm and Vincent Hamm. Aim High! has a domain name registrar agreement with ICANN and holds an accreditation from ICANN to sell internet domain names, which it acquired as trustee and nominee for the owners of the RSI business. On or about May 10, 2004, in accordance with the pre-existing relationship of trustee and nominee, Vincent Hamm upon request by the beneficial owners of Aim High!’s domain name registration business, and on behalf of Aim High!, assigned all its right title and interest in all contracts (and to all moneys receivable under such contracts) under which Aim High! provided domain name registration services including its Registrar Agreement with ICANN to RSI (the “May 10, 2004 Aim High! Agreement”). Pursuant to this assignment, Aim High! agreed to continue to act as trustee for RSI in relation to all matters incidental to the ICANN Registrar accreditation and/or operation of the business name “Get Yer Name” under which Aim High! operates the domain name

registration services business. Aim High! and Vincent Hamm again confirmed these facts in September 2006.

b. Domain Monkeys LLC is a Colorado limited liability company formed by Vincent Hamm, which he formed as nominee and trustee for RSI and in the course of his employment or engagement by the RSI business. Domain Monkeys LLC has a domain name registrar agreement with ICANN and holds an accreditation from ICANN to sell internet domain names. On or about May 10, 2004, to reflect the pre-existing nominee and fiduciary relationship, Vincent Hamm, on behalf of Domain Monkeys LLC, assigned all its right title and interest in all contracts under which Domain Monkeys LLC provided domain name registration services including its Registrar Agreement with ICANN to RSI (the "May 10, 2004 Domain Monkeys Agreement"). Pursuant to this agreement, Domain Monkeys LLC acknowledged that from the date of its accreditation as an ICANN accredited registrar, it had acted and would continue to act as trustee for RSI in relation to all matters incidental to the Registrar accreditation and/or operation of its businesses. RSI and Vincent Hamm again confirmed these facts in September 2006.

c. Web Business, LLC is a Colorado limited liability company formed by Vincent Hamm, which he formed as nominee and trustee for RSI and in the course of his employment or engagement in the RSI business. Web Business, LLC has a domain name registrar agreement with ICANN and holds an accreditation from ICANN to sell domain names on the internet. Shares in Web Business, LLC were held by Vincent Hamm as nominee and trustee for RSI until August 10, 2007 at which time, to reflect

the pre-existing fiduciary relationship, Vincent Hamm transferred the legal title to the shares in Web Business, LLC to another trustee for RSI. RSI and Vincent Hamm again confirmed his status as trustee in September 2006.

d. Internet Equipment Sales & Holdings, LLC is a Colorado limited liability company formed by Vincent Hamm, as nominee and trustee for RSI and in the course of his employment or engagement in the RSI business, which entity was responsible for the purchase of equipment, hiring of staff and payment of expenses on behalf of the Domain Registrar Companies.

e. Internet Name Register, Inc. is a Colorado corporation formed by Vincent Hamm, as nominee and trustee for RSI and in the course of his employment or engagement in the RSI business, which is or was until approximately August 2007 a party to a contract with Nova Information Systems, which provided merchant processing facilities thereby enabling the processing of financial transactions undertaken by the RSI business with customers of the Domain Registrar Companies.

13. On or about September 6, 2006, Aim High! and Vincent Hamm confirmed their existing status as nominees and trustees and agreed to their respective ongoing rights and obligations as nominees and trustees regarding these various companies and agreements.

14. Vincent Hamm acknowledged that he was a contractor engaged directly for the benefit of the RSI business. Moreover, Vincent Hamm confirmed that he was in a position of “great trust . . . having access to large amounts of credit card funds and other revenue received on account of RSI and its associated subsidiaries and related

entities.” Vincent Hamm further confirmed that he had acted and continued to act as a nominee and trustee in respect to matters including, but not limited to, his involvement in internet domain name registrations and management.

15. Vincent Hamm also acknowledged, on behalf of himself and Karen Hamm, that Aim High!, being an ICANN accredited registrar, did not have a beneficial interest in the Registrar accreditation it held because the accreditation was held as nominee and trustee on behalf of RSI.

16. Vincent Hamm further acknowledged the same regarding the companies Domain Monkeys LLC and Web Business, LLC. These companies were also ICANN accredited registrars, formed by Vincent Hamm on behalf of RSI and shares of the companies were held by Vincent Hamm as trustee for RSI.

17. On or about March 24, 2007, RSI received from Vincent Hamm a copy of the lease agreement for 7315 Grant Place, Arvada, Colorado 80002. This lease was executed on November 21, 2003 between Kaim Chigh, LLC (lessor) and Internet Equipment Sales & Holdings, LLC (lessee) for a term of two years, beginning on January 15, 2004 and ending on January 14, 2006 for \$2,000 a month, a figure which the Defendants knew was grossly excessive and which had been selected by the Defendants with the intention of appropriating money, the property of the RSI business, to their own use.

18. On information and belief, Vincent Hamm appears to have signed the lease agreement on behalf of both Kaim Chigh, LLC (lessor) and Internet Equipment Sales & Holdings, LLC (lessee).

19. RSI did not have knowledge of the contents of the lease agreement until receipt of the document on or about March 24, 2007.

20. Kaim Chigh, LLC, through its directors or authorized signatories, Vincent Hamm and Karen Hamm, was aware that RSI had no knowledge of the contents of the lease agreement at the time of execution, which was also acknowledged by Vincent Hamm in September 2006.

21. On or about June 25, 2007, RSI obtained a rental survey and estimate from Appraise Colorado.Net, LLC for the property located at 7315 Grant Place, Arvada, Colorado 80002. As of June 23, 2007, Appraise Colorado.Net, LLC estimated the monthly market rent for the property to be \$975. The property is currently assessed as a residential property by the Jefferson County Assessor.

22. The Defendants failed to provide exclusive possession of the premises at 7315 Grant Place, Arvada, Colorado 80002 by: (1) using the leased premises to store vehicles and computer equipment which was not owned by or related to RSI or the Domain Registrar Companies; (2) fitting wireless broadcasting equipment capable of providing, and intended to actually provide, internet access services to persons other than the tenant of the premises; and (3) by using network facilities for which the Domain Registrar Companies paid without receiving adequate reimbursement.

23. On or about August 10, 2007, Vincent Hamm transferred all legal interests held by him, and on behalf of Aim High!, in Domain Monkeys LLC, Web Business, LLC, Internet Name Register, Inc. and Internet Equipment Sales & Holdings, LLC to a nominee and trustee for RSI (the "Company Ownership Transfer Agreement"). On the

same date, Vincent Hamm also appointed the nominee and trustee as both a member with 100% interest and director/manager/organizer with unlimited powers of these entities. On March 3, 2008, that nominee and trustee transferred to RSI all right and title to the Company Ownership Transfer Agreement.

23. Vincent Hamm has retained and applied for his own use, contrary to his obligations as a trustee, employee or contractor for personal services, substantial sums and the property of the RSI business. Vincent Hamm has admitted on numerous occasions having retained various sums. The sums admitted by Vincent Hamm to have been retained and actually retained include but are not limited to the following:

- a. As of August 14, 2007, the sum of \$27,719, which sum had not been paid as of the date of filing of this Complaint;
- b. As of August 14, 2007, the further sum of \$17,100, of which only \$2,100 had been paid as of the date of filing of this Complaint;

24. Karen Hamm was engaged as a bookkeeper for the RSI business and in breach of her duty to the RSI business failed to notify RSI of accounting irregularities, errors or reporting such other conduct of the Defendants illegal conduct, and misuse of funds which had become known to her.

25. On or about August 26, 2007, Vincent Hamm made for the first time a claim that he was the beneficial owner of each of the Domain Registrar Companies and the Domain Registration Business Assets. (The domain name registration agreements with ICANN, the websites and related equipment and assets used in the operations of

the domain name businesses run by the Domain Name Companies are referred to in this Complaint as the “Domain Registration Business Assets.”)

26. On or about August 27, 2007, Vincent Hamm, without authorization or permission, withdrew funds from the property of the RSI business to which he was not beneficially entitled and which had previously been held in the accounts for Internet Equipment Sales & Holdings, LLC, Domain Monkeys LLC and Capital Networks, LLC/ Internet Name Register, Inc at the First Bank of Colorado. The withdrawal forms were signed by Vincent Hamm and he admitted to this unauthorized withdrawal on August 26, 2007.

27. On or about August 28, 2007, the Defendants, without authorization transferred the internet domain names DOMAINMONKEYS.COM and GETYERNAME.COM, through which Domain Monkeys LLC and Aim High! conducted their domain name registration business, to a registrar known as Udomainname.com LLC.

28. On or about August 29, 2007, Vincent Hamm made changes to the banking arrangements relating to the RSI business and in respect of which he acted as nominee and trustee of RSI, including changes with respect to the First Bank of Colorado’s internet banking service for the purpose of and with the effect that RSI was unable to access its bank accounts or its funds.

29. On or about August 29, 2007, Vincent Hamm instructed the operators of various domain registries with whom the Domain Registrar Companies dealt to change access passwords used by those businesses to connect and communicate with the

registries so that RSI was no longer able to perform normal registry functions. Vincent Hamm admitted that he had made these changes deliberately.

30. On or about September 12, 2007, Vincent Hamm admitted that he had appropriated the websites associated with the businesses of the Domain Registrar Companies and Aim High! dba Get Yer Name, all of which were owned by RSI.

31. On or about September 12, 2007, the Defendants caused the websites operated by Domain Monkeys LLC, Web Business, LLC and Aim High! to be taken offline and Vincent Hamm replaced them with a site hosted on a server controlled by Vincent Hamm and/or Aim High!. The Defendants' unilateral diversion of all traffic (e.g., customers on the internet transacting business with the Domain Registrar Companies and Aim High!'s domain registry business held in trust for RSI) from the domain registrar websites operated by RSI to Vincent Hamm's own site constitutes the wrongful conversion of RSI's valuable property. This diversion of traffic from the RSI business websites further diminishes the ability of customers to transact normal business with the registrars and causes further loss and damage to the reputation of those businesses. The Defendants changed the color schemes previously used by the Domain Registrar Companies as part of their branding as well as the website content. Accordingly, customers accessing the new websites are likely to be confused about the identity and legitimacy of the person(s) with whom they are dealing, further discouraging them from purchasing from the companies.

32. As a result of the Defendants replacing the registrar websites, customers of those registrars are unable to make changes to their domain name other than by

contacting the Defendants to make the changes for them. This alters the normal service provided by those companies which allows customers to make all changes online by using a username and password to establish their identity.

33. Customers are also now unable to purchase or renew a domain name registration other than by contacting the Defendants directly. The lack of customers' ability to manipulate their domain names as they had previously been able to damages the reputations of the RSI business and will cause a dramatic reduction in renewals and new registrations resulting in long term damage to each of the businesses. Removal of these services may also breach the companies' service obligations pursuant to their terms and conditions and may result in breaches of the companies' obligations to ICANN, rendering the registrar companies liable for termination of their registrar agreements.

34. On or about October 5, 2007, Defendants caused or permitted Savvis, a telecommunications carrier, to terminate services provided for the benefit of RSI and the Domain Registrar Companies at their Arvada office, and paid for by those entities, without notice to RSI, causing loss and damage to businesses operated by or on behalf of RSI.

35. On or about October 6, 2007 and October 8, 2007, Defendants refused to honor requests made by RSI to return two internet servers owned by RSI which supported parts of the RSI business. This refusal deprived RSI of customer data and deprived it of the ability to restore services to affected customers, including causing loss and damage to the businesses operated or supported by RSI including

FUNHOSTING.COM, WEBHOSTING.COM.AU, MY.HM and the HM Domain Registry.

36. On or about December 2007, Vincent Hamm, on behalf of himself and Karen Hamm, by himself and his attorney represented to ICANN that Vincent Hamm was the legal and beneficial owner of the companies Domain Monkeys LLC and Web Business, LLC, and that Vincent Hamm and Karen Hamm were the beneficial owners of Aim High! and were beneficially entitled to the ICANN accredited registrar business operated by Aim High!, contrary to the interests of the true beneficial owners of those entities and businesses.

37. On or about December 2007, Vincent Hamm, on behalf of himself and Karen Hamm, by himself and his attorney represented to ICANN that he and his wife, Karen Hamm, had funded the incorporation and expenses of the entities Domain Monkeys LLC and Web Business, LLC.

38. Vincent Hamm and Karen Hamm knew the representations made to ICANN to be false or misleading and fraudulent in that Vincent Hamm deliberately failed to disclose that he was a trustee or nominee of all interests in these entities and that the funding of those entities was by arrangement with RSI such that RSI had duly reimbursed them for any such expenses and paid interest on the said sums pursuant to its agreement with him.

39. Vincent Hamm and Karen Hamm fraudulently misstated the ownership or registered agents of Internet Name Register, Inc. by using the false name "K Hammsmith" (intended to be a reference to Karen Hamm under a false name) on

Articles of Incorporation filed on May 27, 2005 and the false name “J Jockman” on an annual return dated March 28, 2006. Vincent Hamm and Karen Hamm used these false names for the purpose of avoiding RSI discovering what they had done and of defrauding RSI of funds to which it was entitled.

40. On or about February 8, 2007, the Defendants fraudulently caused or permitted 1 Domain Source, Inc. to be incorporated in the State of Colorado and assisted it in the obtaining of ICANN accreditation for that entity, wholly or partially by using confidential documents drafted by or for the use of the Domain Registrar Companies, of which Vincent Hamm was a director, by falsely representing an association between that company and the Domain Registrar Companies and by using the funds of the RSI business to show net worth in order to satisfy an ICANN pre-requisite. Defendants failed to disclose this conduct to RSI, stating a Portland, Oregon address on correspondence with ICANN for the purpose of concealing their relationship with this entity and further attempted to conceal their identities by using the false name Martin Sharraf on Articles of Dissolution filed August 8, 2007. In doing so Vincent Hamm breached his obligations to RSI and the Domain Registrar Companies.

41. Kim Keeling assisted Vincent Hamm in his fraudulent incorporation and operation of the entity 1 Domain Source, Ltd. by permitting Vincent Hamm to falsely specify her as the organizer of that entity, to falsely specify the address 525 Canyon View Road in Golden Colorado as that entity’s registered and principal trading addresses, and to falsely state her name and details as the individual causing corporate

documents to be filed in an attempt to conceal Vincent Hamm's involvement in that entity and thereby to defraud RSI.

42. 1 Domain Source, Ltd., assisted by Kim Keeling and Vincent Hamm, approached and entered into contracts with existing customers of the RSI businesses.

43. On or about February 5, 2008, Vincent Hamm and Karen Hamm completed and filed annual returns with the Colorado Secretary of State in which they fraudulently asserted that Vincent Hamm was the registered agent and/or owner of companies owned by RSI including Domain Monkeys LLC, Web Business, LLC and Internet Equipment Sales & Holdings, LLC.

FIRST CLAIM FOR RELIEF

(AGAINST ALL DEFENDANTS) (BREACH OF CONTRACT)

44. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

45. The May 10, 2004 Aim High! Agreement, the May 10, 2004 Domain Monkeys Agreement, and the Company Ownership Transfer Agreement constitute binding agreements between the various parties to those agreements.

46. By engaging in the conduct described above, Defendants have breached these agreements in numerous and ongoing material ways.

47. By engaging in the conduct alleged, the Defendants have breached their contracts of service with the Plaintiff.

48. 47. As a direct result of Defendants' conduct, the Plaintiff has been damaged in an amount to be determined at trial.

SECOND CLAIM FOR RELIEF

(AGAINST ALL DEFENDANTS) (CONVERSION)

49. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

50. RSI is the sole owner of the RSI business, the Domain Registrar Companies and the Domain Registrar Business Assets.

51. Defendants, without RSI's permission, seized control of the Domain Registrar Companies and the Domain Registrar Assets, as well as the funds associated with the operations of the Domain Registrar Companies, for Defendants' own use. Consequently, Plaintiff is entitled to recover damages in an amount to be determined at trial plus interest and attorney's fees.

52. The Defendants fraudulently claimed, and/or caused or permitted Aim High! to claim, an equitable interest in the Domain Registrar Companies by filing tax returns claiming losses attributable to the Domain Registrar Companies.

53. Additionally, because Defendants' conduct was fraudulent, malicious and/or willful and wanton, Plaintiff is also entitled to recover punitive damages pursuant to C.R.S. § 13-21-102.

THIRD CLAIM FOR RELIEF

(AGAINST ALL DEFENDANTS)

(DECEPTIVE TRADE PRACTICES UNDER THE COLORADO CONSUMER PROTECTION ACT)

54. Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

55. Defendants, through the above-described conduct, have engaged in deceptive trade practices in the course of their business by, among other things, knowingly passing off the domain name registration sites operated by Domain Monkeys LLC, Web Business, LLC and Aim High! dba Get Yer Name, belonging to RSI, as belonging to Vincent Hamm and Aim High!; knowingly making false representations as to the source, sponsorship, approval, or certification of the Domain Registrar Companies by deliberately changing the color scheme of the web sites used as part of the sites' overall branding; and knowingly making false representations as to the affiliation, connection, or association with or certification by RSI.

56. The Defendants have engaged in deceptive trade practices in the course of their business by causing or permitting Vincent Hamm to represent to ICANN that he and/or Vincent Hamm and Karen Hamm were the owners of the registrars Domain Monkeys LLC and Web Business, LLC and entitled to operate and trade using the registrar accreditation held by Aim High! dba Get Yer Name, by failing to disclose that such funding those entities received from the Defendants was provided subject to an

agreement with RSI to repay those funds with interest, and by failing to disclose that such funds were in fact repaid in full with an allowance for interest.

57. The Defendants have engaged in deceptive trade practices in the course of their business by causing or permitting to be filed with the Colorado Secretary of State annual returns containing false declarations, including that Vincent Hamm was the registered agent of each of the entities Domain Monkeys LLC, Web Business, LLC and Internet Equipment Sales & Holdings, LLC, as from February 5, 2008.

58. The Defendants have engaged in deceptive trade practices in the course of their business by causing or permitting to be filed with the Colorado Secretary of State annual returns in the false names of “K Hammsmith” and “J Jockman,” and by representing that Vincent Hamm was the registered agent of Internet Name Register, Inc. as from February 5, 2008.

59. The Defendants have engaged in deceptive trade practices in the course of their business by causing or permitting to be filed with the Colorado Secretary of State Articles of Dissolution for 1 Domain Source, Ltd. in the false name “Martin Sharrif” on or about August 8, 2007.

60. Defendants’ actions significantly impact the public as actual and potential consumers.

61. As a result of the Defendants’ actions, RSI has suffered injury to its legally protected interests, including but not limited to its interests in the ICANN accredited Domain Registrar Companies, and such injury has occurred in the course of RSI’s business.

62. Defendants' conduct in engaging in the above-described deceptive trade practices has been willful, knowing, and intentional and Defendants have therefore engaged in bad faith conduct that entitles RSI to treble damages, costs and reasonable attorney's fees in an amount to be proven at trial, pursuant to C.R.S. § 6-1-113.

FOURTH CLAIM FOR RELIEF

(AGAINST ALL DEFENDANTS) (TORTIOUS INTERFERENCE WITH PROSPECTIVE BUSINESS ADVANTAGE)

63. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

64. By diverting all traffic from the domain registrar web sites owned and operated by RSI, Defendants have diverted sales from RSI and thereby improperly interfered with RSI's prospective contractual relations by preventing RSI from acquiring or continuing its prospective relations with domain registrar consumers.

65. Defendants' conduct has been intentional.

66. As a result of Defendants' intentional and improper interference with RSI's prospective business relations, RSI has lost the benefits of these prospective relations and thereby suffered pecuniary harm.

FIFTH CLAIM FOR RELIEF

(AGAINST DEFENDANTS VINCENT HAMM AND KAREN HAMM) (BREACH OF FIDUCIARY DUTY OF LOYALTY)

67. Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

68. As a trustee and agent for RSI, Vincent Hamm owed a fiduciary duty to RSI to act in good faith and in the best interests of RSI by placing the interests of RSI before his own interests or the interests of another person or entity.

69. Vincent Hamm breached his fiduciary duty to RSI by engaging in self-dealing when he executed a lease agreement between Kaim Chigh, LLC and Internet Equipment Sales & Holdings, LLC, signing on behalf of both the lessor and the lessee.

70. Karen Hamm breached her fiduciary duty to RSI by assisting Vincent Hamm in his conduct, in assisting in the concealment of his conduct, in failing to report irregular and erroneous financial transactions, in failing to notify RSI of the excessive payments being made to Kaim Chigh, LLC, despite the fact that she knew or ought to have known that such payments were excessive, in assisting in the preparation of tax returns which sought to claim deductions for losses attributable to the RSI business, despite the fact that she knew or ought to have known that the Defendants had no beneficial interest in the RSI business, in filing such returns or permitting such returns to be filed, and in making or permitting claims to be made as to her own and Aim High!'s alleged ownership interests in parts of the RSI business including Domain Monkeys LLC, Web Business, LLC and Aim High!.

71. The other Defendants knew, or upon reasonable inquiry would have known, that Vincent Hamm and Karen Hamm were acting in breach of their fiduciary duties and assisted them in doing so.

72. Vincent Hamm acted in bad faith and in disregard for the best interests of RSI, when he agreed, on behalf of Internet Equipment Sales & Holdings, LLC, to a monthly lease payment of \$2,000.

73. Vincent Hamm acted in bad faith and in disregard for the best interests of RSI when he failed to properly investigate the possibility of securing more suitable office accommodations from an unrelated supplier.

74. Vincent Hamm breached his fiduciary duty to RSI when he incorporated 1 Domain Source, LLC and/or assisted that entity in obtaining ICANN accreditation without disclosing to RSI his intention to compete or to assist 1 Domain Source, LLC to compete with RSI.

75. Vincent Hamm breached his fiduciary duty to RSI when he falsely or negligently misstated the ownership or registered agent of Internet Name Register, Inc. by using the names "K Hammsmith" on Articles of Incorporation filed on May 27, 2005 and the name "J Jockman" on an annual return dated March 28, 2006, despite the fact those individuals were non-existent and did not have any relationship with the entity.

76. Vincent Hamm breached his fiduciary duty to RSI when he falsely completed and filed annual returns indicating that he was the registered agent for the Domain Registrar Companies on or about February 5, 2008.

77. Vincent Hamm's breach of his fiduciary duty of loyalty was a direct cause of RSI's damages and losses.

78. RSI has suffered damages in an amount to be assessed by virtue of Vincent Hamm's failure to properly investigate and obtain more suitable office accommodations.

79. RSI has suffered damages in the amount of \$35,650 for the excess rent payments made to Kaim Chigh, LLC between November 2003 and the present.

SIXTH CLAIM FOR RELIEF

**(AGAINST DEFENDANT KAIM CHIGH, LLC)
(UNJUST ENRICHMENT)**

80. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

81. Kaim Chigh, LLC was used by Defendants as the vehicle to siphon the funds of the RSI business into a property owned by Kaim Chigh, LLC.

82. Kaim Chigh, LLC was unjustly enriched by Vincent Hamm's execution of the lease despite it specifying a much higher than market rental and by the receipt of rental payments made to it on behalf of the RSI business.

83. Kaim Chigh, LLC used funds procured from RSI, without its knowledge or consent, to make mortgage payments on the property forming the subject of the lease, namely 7315 Grant Place, Arvada, Colorado. By doing so, Kaim Chigh LLC became a trustee of RSI for the assets acquired with its funds.

84. Kaim Chigh, LLC holds the property as constructive trustee for RSI and RSI holds equitable title to the property.

85. Additionally because Kaim Chigh LLC's and Hamm's conduct was fraudulent, malicious and/or willful and wanton, RSI is also entitled to recover punitive damages pursuant to C.R.S. § 13-21-102.

SEVENTH CLAIM FOR RELIEF
(AGAINST DEFENDANT 1 DOMAIN SOURCE, LTD.)
(UNJUST ENRICHMENT)

86. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

87. By reason of 1 Domain Source Ltd.'s use of RSI's financial assets, confidential documents and its representations to ICANN and to customers that it had an association with the RSI businesses, and representing that it had staff employed by the RSI business, and software and network resources the property of RSI business available to it, 1 Domain Source, Ltd. was unjustly enriched.

88. 1 Domain Source, Ltd. Knew, or ought to have known, of Vincent Hamm's involvement with RSI and the RSI business and was thereby aware of the obligations he owed RSI.

89. 1 Domain Source, Ltd. was unjustly enriched by Kim Keeling and Vincent Hamm's conduct in establishing and maintaining the entity, including their attempted concealment of Vincent Hamm's involvement with the enterprise.

NINTH CLAIM FOR RELIEF

**(AGAINST ALL DEFENDANTS)
(DECLARATIONS)**

90. The Plaintiff reasserts each and every allegation in the preceding paragraphs as if fully set forth herein.

91. Plaintiff claims declarations as follows:

- a. The Defendants owed fiduciary duties to the Plaintiff;
- b. Each of the Defendants breached its fiduciary duties to the Plaintiff;
- c. Kaim Chigh, LLC is a constructive trustee of the premises situated at 7315 Grant Place, Arvada CO 80002 for RSI and RSI is the true owner of said property and entitled to specific performance to obtain such title; and
- d. Defendants are accountable to Plaintiff for all funds derived by them from the RSI business.

WHEREFORE, Plaintiff respectfully requests that this Court:

92. Enter a Preliminary injunction requiring the Defendants to transfer the control of the Domain Name Companies and 1 Domain Source, Ltd. and Domain Registrar Assets back to RSI; allowing the Domain Name Companies to retain the right to pay their wholesale operating costs (i.e., registry fees) in order that they can continue trading; to transfer ownership of the premises situated at 7315 Grant Place, Arvada CO 80002 to RSI; and hold all cash received from the operation in trust, deposited with the court pending final resolution of this case.

93. Enter a permanent injunction requiring the Defendants to transfer ownership and control to the Domain Name Registration Assets, the Domain Name Companies, 1 Domain Source Ltd., the premises situated at 7315 Grant Place, Arvada CO 80002, and related assets and cash associated with those entities and assets to RSI.

94. Award Plaintiff damages in amounts to be determined according to proof.

95. Award Plaintiff an account of profits of 1 Domain Source, Ltd.

96. Make declarations as follows:

a. The Defendants owed fiduciary duties to the Plaintiff;

b. Each of the Defendants breached its fiduciary duties to the Plaintiff;

c. Kaim Chigh, LLC is a constructive trustee of the premises situated at 7315 Grant Place, Arvada CO 80002 for RSI and RSI is the true owner of said property and entitled to specific performance to obtain such title;

d. Defendants are accountable to Plaintiff for all funds derived by them from the RSI business; and

97. Award Plaintiff three times actual damages, reasonable attorney's fees and costs under C.R.S. § 6-1-113.

JURY DEMAND

Plaintiff demands a trial by jury of all claims and defenses so triable.

Dated: March 10, 2008

Respectfully submitted,

s/ Terence C. Gill

Terence C. Gill
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Plaintiff's Address:

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VERIFICATION

STATE OF QUEENSLAND)
) ss.
COUNTRY OF AUSTRALIA)

I, Edward Justin Sweeney, as Director of Registry Systems International, Ltd., do hereby state under penalty of perjury that I have read the foregoing Verified Complaint and that the matters contained therein are true and correct to the best of my knowledge, information and belief.

REGISTRY SYSTEMS INTERNATIONAL, LTD.

By: *Edward Justin Sweeney*
Its Director

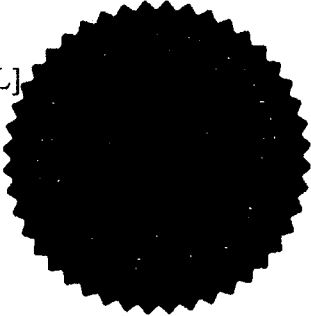
STATE OF NEW QUEENSLAND)
) ss.
COUNTRY OF AUSTRALIA)

Subscribed and sworn to before me by Edward Justin Sweeney, personally known to me on this 3rd day of ~~February~~ ^{MARCH}, 2008. *RM*

WITNESS MY HAND AND OFFICIAL SEAL.

My commission expires: not subject to expiring

[SEAL]



RM Badgery
Notary Public
Brisbane

Notary Public

Queensland